California Democrats reject budget cuts proposed by Newsom as new fiscal year approaches

June 13, 2024 | Denver Gazette, The (CO)
Author: Jack Birle, Washington Examiner | Section: Nation World | 316 Words
OpenURL Link

In the Golden State, Democrats in the legislature are pushing forward with their ways to cut the budget after rejecting proposals from Gov. Gavin Newsom (D-CA), even as discussions continue.

California lawmakers have been in a race to pass a balanced budget ahead of the new fiscal year to avoid a shutdown. However, which cuts to make are being disputed between Newsom and Democratic leadership in the legislature. As negotiations continue, both chambers passed a budget in favor of Newsom's proposal with their proposed cuts to meet the deadline before Saturday to still receive pay.

The budget cuts proposed by the legislative Democrats include cutting $1 billion from the state's prison budget, canceling a $400 million loan to an energy company to help the Diablo Canyon nuclear power plant, and starting a Newsom proposal to prevent some business from deducting losses from state income tax a year earlier than the governor had proposed.

The state Assembly passed the proposed budget 59-14, while the state Senate passed it 29-8, with opposition from Republicans. Because the Democrats hold supermajorities in both chambers, the state GOP holds little power over the proposed cuts and the budget process in general.

"There's a shared set of priorities," Democratic Assemblyman Jesse Gabriel told reporters Thursday, according to Cal Matters. "It's more about what are the most effective solutions, what are the programs and services that we think are the best way to go forward versus others."

CLICK HERE TO READ MORE FROM THE WASHINGTON EXAMINER

Newsom's plan had called for other tactics to balance the budget, including delaying an increase in the minimum wage for healthcare workers to $25 per hour over following years, which is scheduled to begin next month, and some cuts to state assistance plans.

The beginning of the state's fiscal year is July 1, as lawmakers and the governor seek to work out the final details of the state's budget for the new year.

© Copyright 2024 The Denver Gazette. All rights reserved.

- **Citation (apa Style)**
  Birle, J. (2024, June 13). California Democrats reject budget cuts proposed by Newsom as new fiscal year approaches*Denver Gazette, The (CO)*. Available from NewsBank: Access World News – Historical and Current: https://infoweb.newsbank.com/apps/news/document-view?p=WORLDNEWS&docref=news/199B0CFC76AB0E60.